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NCBA Group Q1'2026 Earnings Note

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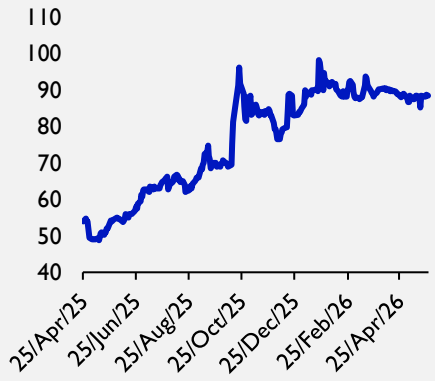
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NCBA Group Q1'26 Earnings Note

29th May 2026

Ticker Information	
NSE Code:	NCBA
Issued Shares (Bn):	1.65
52-week high:	KES 100.00
52-week low:	KES 48.00

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	0.6%	(1.9%)	5.0%	64.7%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	**KES 90.00**	**KES 98.96**

Summary

- **NCBA recorded an 8.8% y/y growth in net earnings to KES 5.96 Bn, supported by a 22.0% y/y growth in net interest income to KES 12.17 Bn and a 6.3% y/y growth in non-interest income to KES 7.83 Bn.** Provision for impairment increased by 56.2% y/y to KES 2.54 Bn, which drove total operating expenses up by 16.6% y/y to KES 12.25 Bn. The balance sheet recorded an expansion, with total assets reaching KES 741.12 Bn, a 13.0% increase. Non-performing loans soared by 3.9% y/y to KES 39.28 Bn.

Key Highlights

- **Earnings Summary**: Revenues from loans and advances eased by 3.0% y/y to KES 9.97 Bn, despite a 13.0% y/y expansion of the loan book to KES 417.21 Bn. We link this performance to lower rates, which compressed margins, hence the lower interest. Revenue from government securities rose by 4.2% y/y to KES 6.60 Bn, in tandem with a 15.6% growth in government securities, which offset the effects of a softening yield curve. In addition, there was a 108.8% y/y jump in interest from deposits and placements to KES 1.13 Bn. Ultimately, total interest income rose modestly by 3.0% y/y to KES 17.70 Bn.
- Interest expense on customer deposits eased by 20.2% y/y to KES 5.53 Bn; mark you, there was a 9.8% y/y increase in customer deposits. This implies that the lender took advantage of the accommodative monetary policy to bargain for cheaper deposits, hence the lower interest expense. Additionally, interest expense on deposits and placements eased significantly by 80.9% y/y to KES 82.26 Mn from KES 431.66 Mn. This performance resulted in a 23.3% y/y decline in total interest expense to KES 5.53 Bn, in turn leading to a 22.0% growth in net interest income to KES 12.17 Bn.
- On the other hand, net non-interest income soared by 6.3% y/y to KES 7.83 Bn, a complete turnaround from the same period last year. Fees and commission on loans climbed by 6.0% y/y to KES 3.29 Bn as the loan book expanded. Interestingly, FX trading income also staged a complete turnaround, posting a 20.7% y/y growth to KES 1.42 Bn *(compared to a 49.6% y/y decline in Q1'25),* on the back of a low base effect

Asset Quality: Gross non-performing loans increased by 4.0% y/y to KES 39.27 Bn. On a quarterly basis, this was a 9.6% increase from KES 35.82 Bn. Although NPL levels rose, this was not painted in the NPL ratio, which actually improved by 1.0 percentage point to 11.6% from 12.6%. We attribute this to the loan book expanding at a faster rate (13.0%) than NPL growth. NPL coverage improved by 3.2 percentage points to 66.2%, while the cost of risk eased to 0.8%.

Balance Sheet Dynamics

The balance sheet recorded an expansion. Notably, the loan book expanded by 13.0% y/y to KES 324.40 Bn. We attribute this performance to the gradual improvement in credit appetite in the country as business activity picked up, as well as lower lending rates supported by a rate-cutting cycle by policymakers. The lender also continued implementing its strategy, which is a blend of traditional brick-and-mortar branches as well as investment in digital channels. Total investment securities jumped by 15.4% y/y to KES 256.40 Bn. Still on investment securities, holdings in government securities and other securities advanced by 15.6% y/y and 14.3% y/y to KES 216.63 Bn and KES 39.77 Bn, respectively. Placements contracted by 23.3% y/y to KES 42.24 Bn. Total deposits increased by 9.8% y/y to KES 544.43 Bn.

Outlook

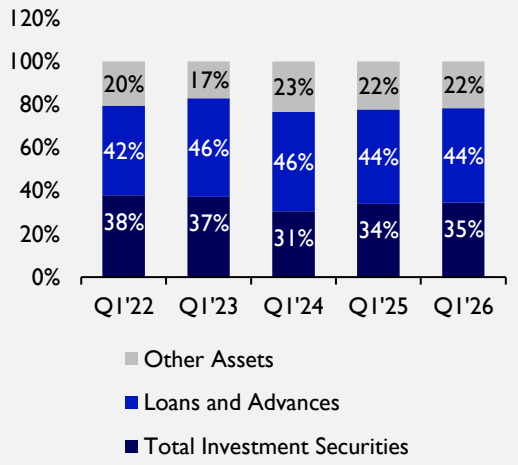
NCBA started the year on a positive trajectory, going by the first three months. Revenue growth was evident from both the funded and non-funded segments. We are impressed by the strategic margin play, which allowed growth in revenues despite lower lending rates. We are of the view that this margin balance will carry through the year and will remain a key driver for topline growth, also supported by loan book growth. After a challenging FY'25 on the non-funded side, we are seeing momentum gathering, especially within the FX trading income segment. We expect this growth to carry on through the year. Investment in digital channels will also support the non-funded income segment, as customers continue to access products through digital platforms. *(During the period, the lender noted that digital channels facilitated 98.0% of all transactions carried out.)* Another long-term growth anchor remains the banking and non-banking subsidiary businesses, which reported KES 641.00 Mn in Profit Before Tax, with the asset management business recording growth in assets under management.

It is important to mention that the NCBA-Nedbank offer is now open. We released our note on the deal (here). The opportunity presents a premium exit, going by yesterday's closing price of KES 90.00 per share. Q1'26 banking sector earnings season indicated an improvement in NPL levels, NCBA Group trended in the opposite direction, pointing to an area of improvement despite the NPL ratio improving. Lastly, so far, the Middle East conflict has not yet had a material impact on the banking sector. However, we are aware of second-round effects that might ripple through the economy, affecting businesses and dampening the appetite for loans.

Recommendation

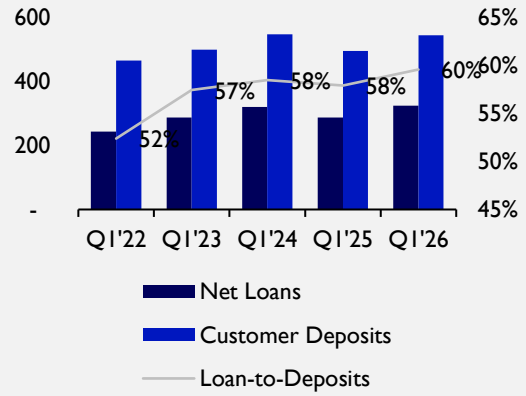
We maintain a BUY recommendation on NCBA, backed by strong margin-driven earnings growth and a promising subsidiary business. At the current market price, the stock is trading at P/E ratio of 5.8x and a P/B ratio of 1.1x. Our one-year target price for NCBA currently stands at KES 98.96- representing a c 9.7% upside potential from current levels.

Chart 2: Asset Composition



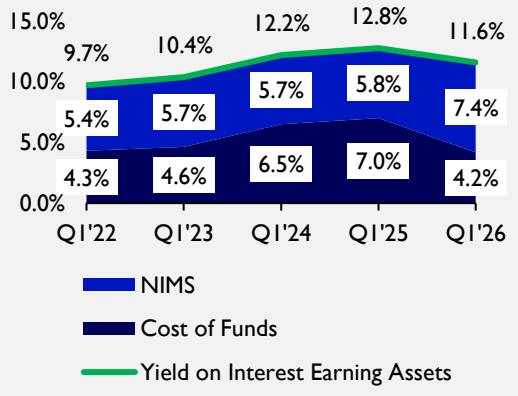
Source: Company filings, AIB-AXYS Research.

Chart 3: Expanding Loan Book



Source: Company filings, AIB-AXYS Research.

Chart 4: Margins Trend



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Bn)	Q1'22	Q1'23	Q1'24	Q1'25	Q1'26	% y/y Change
Net Interest Income	7.09	8.37	8.27	9.97	12.17	▲ 22.0%
Non-Interest Income	6.06	7.18	7.71	7.36	7.83	▲ 6.3%
Total Operating income	13.15	15.55	15.98	17.33	20.00	▲ 15.4%
Provision for Impairment	(2.53)	(1.95)	(1.35)	(1.62)	(2.54)	▲ 56.2%
Total Operating expenses	(8.12)	(9.15)	(9.44)	(10.50)	(12.25)	▲ 16.6%
Profit before tax	4.85	6.39	6.54	6.83	7.43	▲ 8.8%
Profit after tax	3.41	5.07	5.30	5.48	5.96	▲ 8.8%
Core EPS Annualized	8.28	12.30	12.87	13.31	14.48	▲ 8.8%

Balance Sheet (KES Bn)	Q1'22	Q1'23	Q1'24	Q1'25	Q1'26	% y/y Change
Total Investment Securities	223.16	234.32	212.57	222.26	256.40	▲ 15.4%
Loans and Advances	243.90	287.15	320.51	287.02	324.40	▲ 13.0%
Total Assets	**587.38**	**628.83**	**694.87**	**655.97**	**741.12**	▲ 13.0%
Customer Deposits	465.54	499.74	548.07	495.67	544.43	▲ 9.8%
Total Liabilities	507.07	540.92	596.10	539.65	607.75	▲ 12.6%
Shareholder's Funds	**80.18**	**87.91**	**98.78**	**116.34**	**133.40**	▲ 14.7%

Ratio Analysis	Q1'22	Q1'23	Q1'24	Q1'25	Q1'26	% y/y Change
Spreads Analysis						
Yield on Assets	9.7%	10.4%	12.2%	12.8%	11.6%	▼ (1.2%)
Cost of Funds	4.3%	4.6%	6.5%	7.0%	4.2%	▼ (2.8%)
Net Interest Margin	5.4%	5.7%	5.7%	5.8%	7.4%	▲ 1.6%
ROaE	14.0%	18.4%	23.2%	20.5%	19.1%	▼ (1.4%)
ROaA	1.9%	2.5%	3.3%	3.3%	3.4%	▲ 0.2%
Profit Margin	25.9%	32.6%	33.2%	31.6%	29.8%	▼ (1.8%)
Operating Efficiency						
Cost to Income Less LLP	42.5%	46.3%	50.6%	51.2%	48.6%	▼ (2.7%)
Cost to Assets Less LLP	1.0%	1.1%	1.2%	1.4%	1.3%	▼ (0.0%)
Loan to Deposit	52.4%	57.5%	58.5%	57.9%	59.6%	▲ 1.7%
Asset Quality						
Gross NPL Ratio	16.8%	13.3%	12.1%	12.6%	11.6%	▼ (1.0%)
NPL Coverage	72.6%	56.3%	55.7%	63.0%	66.2%	▲ 3.2%
Cost of Risk	1.0%	0.7%	0.4%	0.6%	0.8%	▲ 0.2%
Capital Adequacy						
Core Capital/TRWA	18.0%	17.7%	18.5%	21.5%	21.7%	▲ 0.2%
Total Capital /TRWA	18.0%	17.8%	18.6%	21.6%	21.8%	▲ 0.2%
Liquidity	55.1%	55.1%	52.9%	55.8%	60.7%	▲ 4.9%

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